Plan Assets

The fair value of plan assets, summarized by level within the fair value hierarchy described in Note 20, as of May 26, 2019, was as follows:

	Level 1	Level 2	Level 3	Total
Cash and cash equivalents	$ 0.7	$ 77.7	$ —	$ 78.4
Equity securities:				
U.S. equity securities	56.3	91.8	—	148.1
International equity securities	87.8	0.4	—	88.2
Fixed income securities:				
Government bonds	—	748.3	—	748.3
Corporate bonds	—	2,255.5	—	2,255.5
Mortgage-backed bonds	—	31.1	—	31.1
Real estate funds	0.4	—	—	0.4
Net receivables for unsettled transactions	5.6	—	—	5.6
Fair value measurement of pension plan assets in the fair value hierarchy	$ 150.8	$ 3,204.8	$ —	$ 3,355.6
Investments measured at net asset value				245.9
Total pension plan assets				$ 3,601.5

The fair value of plan assets, summarized by level within the fair value hierarchy described in Note 20, as of May 27, 2018, was as follows:

	Level 1	Level 2	Level 3	Total
Cash and cash equivalents	$ 1.0	$ 65.0	$ —	$ 66.0
Equity securities:				
U.S. equity securities	319.8	124.0	—	443.8
International equity securities	256.5	1.0	—	257.5
Fixed income securities:				
Government bonds	—	1,854.8	—	1,854.8
Corporate bonds	—	4.7	—	4.7
Mortgage-backed bonds	—	9.3	—	9.3
Real estate funds	7.7	—	—	7.7
Master limited partnerships	0.4	—	—	0.4
Net receivables for unsettled transactions	10.9	—	—	10.9
Fair value measurement of pension plan assets in the fair value hierarchy	$ 596.3	$ 2,058.8	$ —	$ 2,655.1
Investments measured at net asset value				700.0
Total pension plan assets				$ 3,355.1

Level 1 assets are valued based on quoted prices in active markets for identical securities. The majority of the Level 1 assets listed above include the common stock of both U.S. and international companies, mutual funds, master limited partnership units, and real estate investment trusts, all of which are actively traded and priced in the market.

Level 2 assets are valued based on other significant observable inputs including quoted prices for similar securities, yield curves, indices, etc. Level 2 assets consist primarily of individual fixed income securities where values are based on quoted prices of similar securities and observable market data.

Level 3 assets consist of investments where active market pricing is not readily available and, as such, fair value is estimated using significant unobservable inputs.

Certain assets that are measured at fair value using the NAV (net asset value) per share (or its equivalent) practical expedient have not been classified in the fair value hierarchy. Such investments are generally considered long-term in nature with varying redemption availability. For certain of these investments, with a fair value of approximately $51.0 million as of May 26, 2019, the asset managers have the ability to impose customary redemption gates which may further restrict or limit the redemption of invested funds therein. As of May 26, 2019, funds with a fair value of $4.2 million have imposed such gates.

As of May 26, 2019, we have unfunded commitments for additional investments of $48.3 million in private equity funds and $17.0 million in natural resources funds. We expect unfunded commitments to be funded from plan assets rather than the general assets of the Company.

To develop the expected long-term rate of return on plan assets assumption for the pension plans, we consider the current asset allocation strategy, the historical investment performance, and the expectations for future returns of each asset class.

Our pension plan weighted-average asset allocations by asset category were as follows:

	May 26, 2019	May 27, 2018
Equity securities	7%	21%
Debt securities	85%	58%
Real estate funds	1%	10%
Multi-strategy hedge funds	—%	4%
Private equity	3%	4%
Other	4%	3%
Total	100%	100%

Due to the salaried pension plan freeze, the Company's pension asset strategy is now designed to align our pension plan assets with our projected benefit obligation to reduce volatility by targeting an investment strategy of approximately 90% in fixed-income securities and approximately 10% in return seeking assets, primarily equity securities, real estate, and private assets.

Other investments are primarily made up of cash and master limited partnerships.

Assumed health care cost trend rates have a significant effect on the benefit obligation of the postretirement plans.

Assumed Health Care Cost Trend Rates at:	May 26, 2019	May 27, 2018
Initial health care cost trend rate	7.20%	7.87%
Ultimate health care cost trend rate	4.5%	4.5%
Year that the rate reaches the ultimate trend rate	2024	2024

We currently anticipate making contributions of approximately $14.2 million to our pension plans in fiscal 2020. We anticipate making contributions of $10.8 million to our other postretirement plans in fiscal 2020. These estimates are based on ERISA guidelines, current tax laws, plan asset performance, and liability assumptions, which are subject to change.